

Zidipay AML and KYC Policy

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Applies to: All Zidipay employees; specifically binding on Operations, Compliance, Customer Support, and Engineering teams that handle customer onboarding, payments, or monitoring systems.

1. Purpose

Zidipay is committed to preventing, detecting, and reporting money laundering, terrorist financing, and sanctions breaches. This policy sets out the customer due diligence (CDD), transaction monitoring, and reporting obligations of the company and of every employee. It is designed to satisfy the Proceeds of Crime and Anti-Money Laundering Act (Kenya), the Central Bank of Kenya AML guidelines, and equivalent regulations in Uganda, Tanzania, and Rwanda.

2. Customer due diligence (CDD)

Zidipay applies a risk-based CDD programme. Every customer is screened at onboarding and on an ongoing basis. CDD has three levels — standard, simplified, and enhanced — applied according to the assessed risk of the customer, the product, and the geography.

2.1 Standard CDD

Applied to all individual customers. Standard CDD requires: full legal name; date of birth; nationality; national identity document number (or passport for non-citizens); residential address; mobile number; and the source of funds where transaction volumes exceed the Tier 1 threshold.

2.2 Simplified CDD

Permitted for low-risk customers transacting only within the Tier 1 wallet, where the assessed money laundering risk is low and other CDD elements have been satisfied. ID alone is sufficient for Tier 1.

2.3 Enhanced CDD

Required for: politically exposed persons (PEPs) and their close associates; customers from higher-risk jurisdictions on the FATF grey or black list; customers triggering ongoing-monitoring alerts; and all customers at Tier 3. Enhanced CDD includes: proof of source of funds and wealth; senior-management sign-off to onboard or continue the relationship; and increased monitoring frequency.

3. KYC tiers and limits

Zidipay wallets are organised into three KYC tiers. Limits below are denominated in Kenyan shillings for the Kenyan wallet; equivalent amounts apply in UG, TZ, and RW per the country addenda.

Tier 1 — basic

Maximum daily transaction: KES 50,000. Maximum balance: KES 100,000. Required documents: government-issued ID only. Permitted activities: send, receive, pay merchants. Not permitted: international transfers, payouts to bank.

Tier 2 — verified

Maximum daily transaction: KES 500,000. Maximum balance: KES 1,000,000. Required documents: government-issued ID and proof of address (utility bill or bank statement not older than 3 months). Permitted activities: as Tier 1 plus domestic bank payouts and merchant settlement.

Tier 3 — full

Maximum daily transaction: no fixed limit (subject to monitoring). Required documents: as Tier 2 plus proof of source of funds, selfie liveness check, and enhanced screening. Permitted activities: as Tier 2 plus international transfers and FX.

4. Sanctions screening

All new customers and counterparties are screened against the UN Consolidated List, the OFAC SDN List, the EU consolidated list, the UK HMT list, and Kenya's Counter-Financing of Terrorism list at onboarding. Existing customers are rescreened daily against updates to those lists. A confirmed positive sanctions match triggers an immediate freeze of the account, escalation to the MLRO, and a Suspicious Transaction Report (STR) where required by law.

5. Transaction monitoring

Zidipay operates a real-time transaction monitoring system (TMS) that scores every transaction for AML risk using rules and machine-learning models. Alerts are queued to the Financial Crime Operations team for review within service levels of: 4 hours for high-priority alerts, 24 hours for medium, and 72 hours for low. Reviewers may request additional information from the customer, escalate to the MLRO, or close the alert with a documented rationale. All alert decisions are auditable.

6. Suspicious Transaction Reports (STRs)

Any employee who knows or suspects, or has reasonable grounds to know or suspect, that funds being handled by Zidipay are the proceeds of crime or are related to terrorist financing must file an internal report to the MLRO via the dedicated 'STR' channel in the Compliance ticketing system. Tipping off the customer is a criminal offence in all our jurisdictions. The MLRO determines whether to file an external STR with the Financial Reporting Centre (FRC) in Kenya or the equivalent Financial Intelligence Unit in UG, TZ, RW. External STRs must be filed within 7 calendar days of the MLRO's decision unless the law specifies a shorter window.

7. Training

Every employee completes AML and KYC awareness training in the first 14 days of joining and refresher training annually. Customer-facing and high-risk roles complete role-specific training, with assessments. Records of training completion and assessment scores are kept by People Operations and made available to regulators on request.

8. Record keeping

Zidipay retains CDD records for a minimum of 7 years from the end of the customer relationship and transaction records for 7 years from the date of the transaction, in line with the Data Protection and Privacy Policy. Records may be retained for longer where an investigation or regulator request requires it.

9. Governance

The MLRO is the senior officer accountable for the company's AML programme and reports directly to the Board Audit and Risk Committee. The Compliance team operates the day-to-day programme; Internal Audit reviews the programme at least annually. External independent reviews are commissioned every 24 months.

10. Sanctions for non-compliance

Failure to comply with this policy is grounds for disciplinary action up to and including dismissal. Several breaches (tipping off, deliberate failure to file an STR, sanctions evasion) are criminal offences and will be reported to the authorities.